



Gavin Newsom, Governor
State of California
Health and Human Services Agency
DEPARTMENT OF MANAGED HEALTH CARE
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February 19, 2026

VIA ELECTRONIC MAIL

Samantha Uiagalelei
UHC of California
5701 Katella Avenue, MS CA120-0368
Cypress, CA 90630

Re: Proposed Contract Termination with Palmdale Regional Medical Center
Block Transfer Filing No. 2026-HOSP-235
Filed on February 17, 2026

Dear Ms. Uiagalelei:

The Department of Managed Health Care (Department) is reviewing the information in the above-referenced Block Transfer Filing (Filing) submitted by **UHC of California** (Plan) for compliance with the requirements of the Knox-Keene Health Care Service Plan Act of 1975, as amended (Cal. Health & Safety Code § 1340 *et seq.*) and the regulations promulgated thereunder (Cal. Code Regs., Tit. 28, § 1000 *et seq.*).

In the event of contract termination, the Filing proposes to remove **Palmdale Regional Medical Center** (Terminating Hospital) from the Plan's hospital network. The effective date of contract termination between the Terminating Hospital and the Plan (Termination Date) is currently **April 30, 2026**.

Please review the following comments and feel free to contact me if you would like to discuss any of the issues before filing the Plan's response.

1. Regarding the Enrollee Transfer Notice submitted for this Filing, the following information was found missing. Please resubmit the Enrollee Transfer Notice for the Department's review to include the following:
 - a. A brief explanation of why the transfer is necessary due to the termination of the contract between the plan and the Terminated Provider
 - b. A statement informing any enrollee of a point of service product that the Affected Enrollee may be required to pay a larger portion of costs if he or she continues to use his or her current providers, if applicable to the particular Block Transfer.

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2. On the Block Transfer Filing Form, the Plan reports zero bed days and zero admits for HMO and PPO enrollees. Please confirm there were zero HMO bed days utilized, zero HMO admits, zero PPO bed days utilized, and zero PPO admits.
3. Please confirm whether the contract termination between the Plan and Palmdale Regional Medical Center impacts Point of Service (POS) enrollees.
4. For each Alternate Hospital, please summarize or confirm the following:
 - a. The Plan contacted the hospital regarding the Block Transfer,
 - b. Any concerns expressed by the hospital regarding its ability to accommodate the hospital-based needs of enrollees redirected by the Block Transfer.
5. In addition to the in-patient services comparison on the Block Transfer portal, please indicate any of the following services that are available at the Terminating Hospital, but not available at the Alternate Hospitals:
 - a. Any out-patient or in-patient services

If any services are not available at the Alternate Hospitals, please explain where affected enrollees will receive these services following contract termination.

6. Please identify the number of enrollees who have a procedure scheduled and authorized by the Plan at the Terminating Hospital post-termination.

Please submit the Plan's response by **February 26, 2026**, via the Block Transfer portal as a "Response to Comment Letter."

Please contact me if there are any questions regarding the above.

Sincerely,



Nune Mikayelyan
Analyst II
Office of Plan Monitoring